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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**2736**	**13381**	**16108**
Section 2	**1935**	**9701**	**11628**
Section 3	**1703**	**9055**	**10749**
Total	**6374**	**32137**	**38485**

Answer-to-Question-_1_

Introduction

This memo serves to advise client Bridget Barrett on all of the potential claims that could arise from the developments in the fact pattern.

Background

First, Alana Ahern (AA) and Bridget Barrett (BB) entered into some kind of voluntary agreement related to an economic pursuit. There are several types of business models that could, at first glance, apply to their initial agreement: a general partnership (or even a minority service partnership), a lender-borrower relationship, and a principal-agent relationship.

The relationship between AA and BB is clearly not a corporation. The formation of a corporation follows DGCL rules (assuming that if they were to form a corporation, it would be formed in Deleware (DE), as many corporations are. The formation of a corporation requires the involvement of the state (§ 1.101). There is nothing in the fact pattern to indicate that AA and BB involved the state in their relationship and established a corporation.

This memo informs BB that she may be liable if she entered into either a principal-agent (PA) relationship with AA or a general partnership with AA. Neither of these relationships have the corporation requirement of filing with the state. *Doty*, *Nabisco*.

BB and AA: Principal-Agent Relationship

The first issue is whether AA is an "agent" of BB as a "principal." This issue is pertinent because determining whether a PA relationship exists also determines who might be liable and thus must pay "millions of dollars" to Illinoilco. The agent is usually the most obvious defendant. However, many agents are insolvent (*Cargill*). Thus, the principal is the second most obvious defendant because the principal might have deeper pockets, or going after the principal might enable a sympathetic defendant to recover more easily (*Gorton* loss spreading). If BB is the principal of AA, then BB could be liable for the millions demanded by Illinoilco because it is likely that AA, having readily accepted a loan, does not have much money in the bank.

Restatement § 1.01 establishes that "Agency is the fiduciary relationship that arises when one person (a 'principal') manifests assent to another person (an 'agent') that the agent shall act on the principal's behalf and subject to the principal's control, and the agent manifests assent or otherwise consents so to act." In short, for a PA relationship to exist, there must be **assent**, **benefit**, and **control**. *Gorton, Cargill*. What the

parties call their relationship (labeling) is not controlling. *Restatement § 1.02*. And an agency relationship only arises when the elements stated in §1.01 are present.

Here, BB might have signaled **assent** that AA would work on her behalf. BB approached AA first, offering to lend money. In *Gorton*, teacher Doty manifested assent by lending her car to someone else to use. Here, BB is doing something analogous by lending money to "support" AA's work, not just to buy it.

While BB is supporting AA's AI development, BB is also **benefitting** from it's development. BB is using the AI for her company and BB might also benefit financially from having first invested in AA's AI when that AI eventually makes "extra" (begins to bring in profits).

Control is often the factor on which many cases turn because it is more difficult to determine. In *Gorton*, the Court asserted that Doty exercised control through the condiction precedent that the person she designated should drive her car (this was a bit of a stretch). In Cargill, the lender exercised control by interfering with the internal affairs of the company to which money was lent. Here, BB might argue that there was no control because she said to AA: "I would not dream of telling you what to do." This statement suggests that, unlike in *Cargill*, BB was not meddling with AA's internal affairs. In fact, BB did not interact with Cillian Connor (CC) nor tell AA to work with CC. BB should assert that here relationship with AA was a lender-borrower relationship. However, a court might find that BB has deeper pockets and label her the principal for policy reasons (*Cargill*). Additionally, AA might argue that, like in *Gorton*, BB exercised control by lending something (money) and chosing who would be in charge of that money (AA).

If AA is an **agent** of BB, then she would owe **fiduciary duties** (FD), including the duties of loyalty (*Towny & Country, Reading,* manufacturing hypo), care, good faith, and fair dealing. AA is not soliciting former customers (like in *Town & Country*). Instead, BB might argue that AA should have disclosed to BB that another company paid a "substantial amount of money" for use of the AI (like in the manufacturing hypo). However, AA did not clearly unjustly enrich herself (*Reading*) and keep BB from the profits of working with Illinoilco because CC established that relationship without consulting with either AA or BB. It is not clear whether AA *knew* that Illinoilco was using her product. However, as the product developer there might have been a way for her to determine who was speaking to her AI. Thus, if AA did know, she should have told BB. If AA made any money off of the license, then BB is entitled to keep all the profits made thereby (enhanced deterrence, *Reading*). Perhaps, though, AA had a duty to BB not to create an AI that would cause harm to others.

BB is also concerned whether, if she is a **principal**, she is **liable** as a principal in contract or in tort. BB is likely not liable as a principal in contract because she never communicated with AA about licensing to other companies (actual authority) nor communicated with Illinoil co, the third party (apparent authority). There was also no ratification, and inherent authority does not exist (*Watteau*, Third Restatement).

BB, if a principal of AA as an agent, might instead be liable as a principal in tort. Perhaps Illinoilco employees experienced emotional disturbance or damages because of the "offensive slurs" generated by the chatbot. If liable as a principal in tort, one must first determine whether there is an employee-agent (EA) or an independent contractor (IC) relationship. The difference between the two types of relationships is determined by the degree of control that the principal exercises over the agent. The best evidence of control is where the money is going. E.g., in *Humble*, the principal paid the utilities, but in *Hoover*, the agent bore the burden of the financial losses (and the gains). Here, because BB put in her own money and AA might not have much money of her own, it is likely that BB will suffer if the AI does not make any money and AA cannot return the money. However other factors point toward an IC relationship. For example, AA owns the tools, AA seems to have multiple bosses (BB and CC, and maybe Illinoilco), AA is not salaried and has no benefits. It does not seem like BB has control over AA's day-to-day operations, which was dispositive in *Humble* and *Hoover*.

If AA is an employee, then AA must be working in the scope of her employment for BB to be liable. Under to common law test, BB would not be liable if the tort committed was intentional or a detour. The slurs could possibly have been an intentional tort if AA strategically trained the chatbot to spew those slurs at Illinoilco customers. It is unlikely that this decision was to effectuate any purpose on behalf of BB (*Nelson*), but a chatbot going AWOL is probably foreseeable (*Bushey*).

If AA is an IC of BB (which is more likely), then BB is still likely liable (*Majestic Reality*) because AA was likely an incompetent contractor (financially insolvent). It is not clear that a chatbot is inherently dangerous (like demolition), but perhaps it is too early in the evolution of AI to determine whether AI is a nuisance per se.

BB and AA: Partnership

Regardless of whether BB and AA developed a PA relationship, Illinoilco may be able to recover also under a theory that a partnership was formed. (*eBay* supports the idea that multiple types of business relationships might enable recovery).

Thus, it is also possible (and probably more likely) that BB and AA formed a partnership. Under RUPA § 101, a partnership is an association of two or more persons to carry on as co-owners of a business operating for profit (two or more persons who agree to divide profits and control). It does not matter what their agreement said; these requirements must be met for a partnership to be established (*Fenwick*). Co-owners must all have some control. AA might argue that she had control over the product and BB had control over the finances of the corporation, and therefore their control was divided into different spheres of duties. The profits element requires that there be some numerical division of the money coming in. The RUPA default is that profits are divided evenly and losses follow profits, however that default is nonmandatory. From the

outset, BB and AA first agreed that BB would be paid once the AI made back the million dollars loaned. However, that million is not a profit. When BB said, "we can talk about what to do with the extra," BB was referring to profits. If profits go to both BB and AA (as I assume BB wishes as a reward for lending money early), then a partnership is formed. Because BB and AA did not speak about what percentage each would receive, then profits will be divided evenly and losses will follow profits.

Once a partnership is formed, partners are jointly and severally liable. Here, if AA and BB did indeed form a partnership, it is unlkely to be a limited liability one, so they will both have to pay.

Partners owe each other **fiduciary duties**. They cannot rid themselves of those duties but they can set the level of fidcuciary duties owed, assuming that the new standards are not manifestly unreasonable. What is "manifestly unreasonable" depends on the circumstances of the parties. Namely, whether those parties are sophisticated. As a lawyer, BB is a sophisticated party. Although AA is a graduate of an esteemed institution and a leading AI expert, it is unlikely that AA is as advanced in her knowledge of partnership law as BB. Therefore, it might be manifestly unreasonable for BB and AA's fiduciary duties to each other to be altered.

Thus, if AA knew about the Illinoilco deal, then BB should have been informed (*Meinhard*, *Day*). And AA probably owed BB the duty of care, so BB could argue that AA was reckless or perhaps even intentional in allowing the AI bot to spew offensive slurs.

AA might argue that the minority service partnership rule applies (*Kovacik*) because one party (BB) contributed money and the other (AA) contributed skill. Thus AA should not be liable for any losses and should not be liable to Illinoilco. However, RUPA rejects the minority service parternship rule and states that losses are shared in proportion to profits. Profits are likely to be split evenly because AA and BB have not established otherwise. Unless AA and BB are in California, AA is out of luck.

Piercing the corporate veil

By creating thousands of different corporations and controlling the shares issued, BB's position begins to look similar to those of the cab driver (*Walkovszky*) and Marchese (*Sea Land*). Corporations enjoy limited liability, which usually acts to assure investors that they will not be liable for the wrongdoing of the directors and officers of the corporation. However, despite this strong shield, a plaintiff may attempt to "pierce the corporate veil" between shareholders and the corporation to recover from the shareholders as well.

Plaintiffs rarely win these cases. In order to pierce the veil (vertical piercing), they must show (1) commingling or unity (there is no difference between the company and the dominant controlling

shareholder) and (2) fraud or injustice (in some jurisdictions). *Walkovszky*, *Sea Land*. Here, the plaintiff might run into some trouble because BB issued the shares to other partners. Those partners are likely the controlling shareholders, and there is no difference between those shareholders and their companies. That shows comingling, but the plaintiff would have to go after all 1,000 shareholders individually. If they just target BB, they will not receive damages from every company (the 999 others). Furthermore, there does not seem to be any fraud occurring.

Illinoilco is better off putting forward an enterprise liability argument. They need only show unity and commingling and not fraud in order to veil pierce between sibling companies. BB has clearly set up sibling companies. All of those companies likely share in the profits of the structure that was once the law firm. So it is likely that they all share in the future profits of the AI chatbot. Targeting the companies horizontally is a more efficient approach for Illinoilco.

AA and CC: Principal-Agent Relationship

It is far more likely that CC, rather than BB, should be held liable to Illinoilco for the emotional damage caused by AA's slurs.

CC is likely the principal of AA. AA and CC both **assent** that AA works on the AI protocol. In fact, AA is doing so "at the request" of CC. As CC's academic advisee, it might be said that AA works for the benefit of CC. Indeed, academic advisees can exploit the (typically unpaid) labor of graduate students, **benefit** from the success of their advisees' work, etc. AA is clearly under the **control** of CC. CC, as academic advisor tells AA what to work on.

If AA is an agent of CC, then AA owes **fiduciary duties** to CC. CC might argue that the ability for the chatbot to spew offensives slurs highlights a lack of care on AA's part. However, AA has a stronger argument that CC, as a principal, is liable in tort.

It is possible that there was a contract for the chatbot that was breached once the chatbot began spewing offensive slurs. Perhaps CC's communications with Illinoilco suggested that AA had apparent authority. However, AA never interacted with Illinoilco directly, so this analysis is futile.

Instead, CC could be liable as a principal under **tort** law for causing emotional distress to the Illinoilco customers. The relationship between CC and AA is far more like an EA relationship than an IC relationship. CC is likely to control the day-to-day of AA's work as AA's academic advisor, and CC benefits financially from AA's work (*Humble*, *Hoover*). The next question is whether the chatbot spewing offensive slurs was in the scope of AA's employment. If AA intentionally added those slurs, knowing that CC was using her chatbot without her permission, then the tort is intentional and AA is liable but CC is not. This issue is also more likely to be a detour rather than a frolick because it is just outside the technical

scope of AA's employment. In developing the chatbot, AA is working to effectuate the employer's purpose (*Nelson*), although clearly enabling a chatbot to say slurs does not help the employer in the same way that berating a lazy employee might. A chatbot spewing slurs is most certainly foreseeable (*Bushey*), especially if CC did not ask AA to ensure that certain words would not be used, so CC is likely liable.

AA and CC: Partnership

It is possible that AA and CC are also **partners**. They might be co-owners of the AI because AA works on the code and CC came up with the idea and guides the overall trajectory of AA's work. The partnership operates for a profit because CC licensed the chatbot for a substantial amount of money. Even though profits need not be divided evenly, there must be at least some real division of the profits. Here, there is none. The facts suggest that CC licensed the bot for "personal gain" and likely did not share profits with AA. So perhaps this is not a parternship afterall...

But, if AA does benefit from the AI somehow or is supposed to benefit, then CC is violating his fiduciary duty of loyalty. CC should have disclosed the deal with Illinoilco (*Meinhard*), CC advantaged himself at the expense of the partnership (*Day*), and CC must consider his partner's welfare and refraim from acting for purely private gain (*Meehan*).

Perhaps, too, AA should have informed CC of the relationship with BB and offered CC the opportunity to work with BB as well.

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

Introduction

This memorandum sets forth all the potential claims that could arise from the fact pattern. As an initial matter, because GraftKings, Inc. (Graft Kings) is a publicly held corporation, the closely held corporation doctrine does not apply. Thus, the issues raised in the memorandum are assessed based on Delaware (DE) law and other applicable law regarding publicly held corporations.

Xavier Xerxes's Fiduciary Violations

Xavier Xerxes (XX) is the most likely defendant in a minority shareholder suit. Minority shareholders could sue XX for violating his fiduciary duties of care and loyalty to the corporation.

Under DE law, a director and/or officer of a corporation owes fiduciary duties to the corporation and the shareholders of the corporation. The decisions of those directors and officers are protected by the business judgment rule (BJR). Courts claim that they are "not business experts" (*Dodge, Shlensky*) and therefore, in the absence of fraud, illegality, or self-dealing, they will not disturb an honest business judgment (*Kamin*). Honest simply means real or genuine. The alternative to the the rule (judicial intervention) is considered crazy, although courts sometimes make peculiar decisions about what might not count as a business judgment (e.g., Ford paying dividends). A plaintiff attempting to assert that an officer or director has violated their fiduciary duties must allege a breach of those fiduciary duties in a complaint alleging a violation of the BJR (*Kamin*). The duty of loyalty is a prohibition against self dealing, and the duty of care requires an honest business judgment (harder to prove).

1. Duty of Care Claims

Minority shareholders might argue that XX (and perhaps the rest of the board) violated his duty of care by offering Yves Yeager (YY) a doubled salary without diligently checking YY's background. If XX had conducted a background check on YY, he would have quickly uncovered YY's long and checkered record of sexual harassment. YY's unseemly and indefensible proclivities clearly affect his ability to do a job well because his actions undermine his ability to lead with respect and hinder productive collaboration with his professional colleagues.

Process is a proxy for care, and thus a defense against a violation of the duty of care claim (*Van Gorkom*). Just as in *Van Gorkom*, XX is a CEO preparing for retirement, hastily making decisions about the future of the company. XX took even less care than Van Gorkom. XX did not call a meeting of senior management, did not meet with the board of directors, and did not ask the directors to approve the hiring of his replacement. XX undertook zero process and was grossly negligent in picking his replacement. Just as in *Van Gorkom*, proof of carelessness exists in how little deliberation there was. Greater care would have led to GraftKings picking a more qualified President.

However, DGCL § 102(b)(7) will indemnify XX in his status as CEO and chair of the board of directors for monetary claims related to his violation of his duty of care absent bad faith if GraftKings's charter included such a provision. DGCL § 102(b)(7) subverts the Van Gorkom holding (process as proxy for care), and so XX will not have to pay.

The minority shareholders might also put forward a nonfeasance claim. They might say that there was no

business judgment whatsoever, and the duty of care still applies (*Francis*). A lack of business judgment might be demonstrated in XX's failure to conduct a background check on YY. This claim will fail. While XX did very little in terms of due diligence, XX still made a business decision when he hired YY as a replacement. XX did not demonstrate an absolute failure to act like the mother in *Francis*. XX was far more involved in the business and made purposeful decisions about the future of the company.

Because YY had no incentives to do his job well, the minority shareholders might bring an additional duty of care claim. In *Disney*, the minority shareholders claimed that the board breached their fiduciary duties and committed waste by approving an employment agreement without properly informing itself of the cost of the nonfault termination provision. The Disney CEO was incentivized to do a bad job and incentivized to get himself fired. Here, YY had two incentives. Because he placed a bet that GraftKings would fire a senior officer that year, he could either attempt to be fired (by sexually harassing his colleagues) or encourage the firing of another senior officer. In winning his wager, which was likely inevitable, YY collected millions from GraftKings. Unfortunately, the minority shareholders are likely to lose. *Disney* showed that boards, directors, and officers can be so careless that they can give someone a contract that incentivizes them to be bad, and they are still not held liable. Gross negligence without more cannot constitute bad faith.

2. Duty of Loyalty Claims

Minority shareholders might allege a breach of the duty of loyalty, although this claim is not as strong. There is no corporate opportunity here because there is no money originating outside of the company that is intercepted by an insider and then flows into the company. Instead, there might be an indirect interested insider transaction (IIT). Money originated inside the company and leaves the company in the form of a doubled salary to someone close to the insider, XX. YY is the indirect insider because he is someone who is closely connected to XX (he is like a family friend). YY is in a position analogous to the wife in *Bayer* who was hired for her singing prowess.

There are two defenses to an IIT: ratification (procedural defense) and fairness (substantive defense). The burden is on XX to show that a defense applies. There is no indication in the facts that XX can show ratification by either disinterested directors (DGCL § 144(a)(1)) or the majority of shareholders (DGCL § 144(a)(2)). First, XX is the only director who approved of the decision to hire YY, and XX is clearly not disinterested. Even if there had been a board vote, XX might have had enough influence as the chair of the board to encourage (force) the other directors to vote for YY as the next President (unlike what the court in *Kamin* believed.). Second, there is no mention of shareholder ratification in the fact pattern. If, somehow and miraculously, the decision had been ratified, then the minority shareholders would have to show waste (*Disney*), which is nearly impossible to prove.

But, because it is unlikely that there was ratification, XX must prove that the decision to hire YY was fair (DGCL § 144(a)(3), *Bayer*). Fairness in an IIT context is a comparison of how much the company paid (price) and what it received (value that came in). In *Bayer*, the transaction was fair because the wife was talented. Here, YY has no known talent whatsoever. The only facts we know about YY are his proclivity for distasteful behavior and that he is "cool." The aside, "and, you know, smart" is not convincing that YY actually has any notable intelligence. So the company paid twice a CEO salary for nothing of real value in return. XX can not show that the IIT was fair.

Aside: We do not know whether XX is a dominant shareholder. If he is, then he owes even greater duties in his role as a dominant shareholder than in his role as an officer. It does not seem as if he used his voting power to influence major corporate decisions, and there is no issue in the fact pattern that suggests he is enriching himself nor that the minority shareholders are not being paid pro rata.

Yves Yaeger's Fiduciary Violation

As the new President of GraftKings, YY is also an officer (and likely a director) and owes fiduciary duties to both the corporation and the shareholders. Minority shareholders should claim that YY violated his fiduciary duties as an officer (as CEO) by engaging in behavior that was self-enriching. His bet might be an IIT (although this is probably a stretch). Money flows from the company straight into his pockets, and he is an insider as CEO. To make a bet on GraftKings, there was most certainly no ratification, and this was obviously not a fair transaction (the company received nothing of value).

Takeover

Zetta Zamora (ZZ) is attempting to takeover GraftKings by offering to buy the entire company for $15/share.

The current directors and officers of a company can defend against a takeover using corporate assets if they argue a legitimate business purpose (*Cheff*). It is not hard to demonstrate that there is a legitimate business purpose for defending. The directors and officers need merely show that there is something threatening, problematic, or dangerous about the acquirer to satisfy the *Cheff* requirement. XX can argue that a ZZ acquisition would be detrimental to GameKings. ZZ has never acquired a company before, so perhaps ZZ does not know how to successfully run a new company once it is acquired. This arguement is the opposite of the one that the *Unocal* directors made against T-Boone when they stated that he had a checkered history of taking over companies. Regardless, in *Unocal*, the directors satisified *Cheff* by arguing that T-Boone's offer was coercive. Here, there is nothing coercive about ZZ's offer (in fact, it is a great deal - 3x the public trading price). But XX can still defend against the takeover because he can argue that ZZ is threatening, problematic, or dangerous.

What is unique here is that XX uses a new defense against a takeover. Rather than engaging in greenmailing, self-tenders, poison pills, incursion of debts, lock up, or a cancellation fee, XX instead merely leaks the YY investigation anonymously. Perhaps leaking an unfavorable investigation is most closely analagous to the incursion of a debt (*Revlon*) because it is a means of making the company less desirable to the acquirer.

The next issue is how much XX as a director can spend to defend against a potential takeover. Once *Cheff* is cleared, directors can spend a proportional amount of corporate assets (*Unocal*). At first glance, it seems as if XX did not spend any corporate assets. However, the investigation clearly does not put the senior officers of GraftKings in a favorable light. Perhaps the reputational damage to GraftKings will lead to money lost (like money spent because the company is less well off). And basically anything can be proportional, but it is up to accountants to make that determination.

Directors must stop using corporate assets to defend only when a change in control becomes inevitable (*Revlon*). Here, there was no "*Revlon* moment." Therefore, XX never has to switch from being a defender to an auctioneer. And there is no need for the *Omnicare* fiduciary out analysis to factor in because there is no other bidder, no deal, and thus no agreement into which a fiduciary out would be written.

The minority shareholders, having read Milton Friedman's piece "The Social Responsibility of Business is to Increase Its Profits," will likely be indignant that XX did not allow ZZ to acquire GraftKings. That is also ZZ's fault. ZZ, instead of speaking with management, could have gone straight to the shareholders and offered to buy their stock for greater than the market rate (hostile acquisition). As shareholders of the target company, they also would have received appraisal rights. However, they might not have needed or wanted to because they would have received more than the fair value of their shares. The de-facto merger, nonmerger, and freeze out doctrines do not apply here because there was never an acquisition and no attempt to get rid of the minority shareholders.

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_

Introduction

Where are the accumulations of blockages, regulations, and choke points that journalists Ezra Klein and Derek Thompson describe? The trajectory of the law of business organizations has highlighted a trend toward deregulatory measures that tend to harm the masses and deprive the public of common goods. Klein and Thompson are deeply misguided in their push for deregulation. This short Essay describes judicial and legislative decisions favoring deregulation and the harms of those short-sighted actions.

Corporate Law: The Law of Deregulation

The law of corporations highly favors deregulation and bends to the whims of those with the most power, money and influence: officers, directors, and controlling shareholders. This section highlights rules and decisions, across various aspects of corporate law, that show acquiesence to the corporation, to the detriment of the common good.

1. *The Business Judgment Rule*

The business judgment rule serves as an obvious example of *de*regulation. In the absence of fraud, illegality, or self-dealing, courts refuse to disturb honest business judgments of corporate management (*Shlensky*, *Kamin*). The rule is a trade-off for setting the technological innovation that we generally aim to promote and protect in the United States at a maximum. Our system already enables the technological invention that Klein and Thompson urge the state to support. For example, if a court had told Steve Jobs to stop investing money into building computers several decades ago and had accused him of wasting stockholders' money, then Apple as we know it today might not exist (nor might artifical intelligence). Apple might be a boon to modern society, but it certainly does not sell products that are available to all (cost prohibitive) or could be considered public goods in and of themselves.

As with any trade-off, this one favoring innovation has a downside: numerous businesses fail. In fact, more than 90% of start-ups do. Deregulation does not lead to the flourishing of all. It instead leads to the success of a few unicorns, which, by controlling the market, amass astounding levels of wealth and control. Moreover, those who control the decisions of corporations often work to increase the wealth of the corporation (perhaps à la Milton Friedman). Often, their their choices are detrimental to the public writ large and/or hoard the resources that Klein and Thompson describe as "public goods." Courts refusing to intervene in these instances leave the public to defend itself.

2. *Corporate Democracy and a Race to the Bottom*

Many American citizens are shareholders. Much of our life, and especially retirement, savings are held up

in stocks. Often the only say that we, as (minority) shareholders, have in the operation, decisions, and direction of a company is through corporate democracy measures (proxy fights and shareholder proposals). Corporate democracy is already weak and continues to weaken to appease those who hoard resources.

There are two wasy for shareholders to persuade other shareholders that what the company is doing is a bad idea: proxy statements and access to books and records to acquire a list of shareholders and information about the company's functioning. First, it is incredibly hard for insurgents to win proxy fights (*Levin* and *Rosenfeld*). Insurgents, those who are not incumbent management, have to create and pay for their own ballots and proxy statements to mail those ballots and statements to voters. They will not be reimbursed unless they win. While it is detrimental to the functioning of the corporation to pay for the incumbents in every single proxy fight, the lack of funding for losing incumbents discourages those who might better run the company from engaging in a proxy contest at all. Second, a shareholder may only acquire books and records if they have a proper purpose. That "proper purpose" must relate to an economic or fiduciary interest (*Pillsbury*). So, a shareholder worried about the public and a company hoarding public goods might not succeed if they are not sophisticated enough to argue, as Lovenheim was not, that their purpose is economic in nature.

The weakening of corporate democracy, by the courts (and the legislature as described below) leaves minority shareholders and shareholders in general, who represent much of the public, without a strong voice.

3. *DE Legislature: Race to the Bottom*

Delaware, the preeminent state for corporate incorporation, has prioritized the wishes of management and major shareholders rather than the average shareholders writ large. In response to the protests of disturbed technology billionaire Elon Musk in response to *Tornetta v. Musk* last year, the Deleware legislature has begun a "race to the bottom." This race to the bottom is an attempt to appease wealthy individuals with outsized influence (as majority shareholders or officers and directors) in Deleware corporations. Elon Musk's pay package from Tesla serves as an example.

Certain changes to the DGCL provide illustrative examples.

The Delaware legislature recently revised DGCL § 144, the provision that applies to the fiduciary duties of dominant shareholders. This change was an attempt to reduce and define the scope of what a conrolling shareholder is. The legislature made the definition of a controlling shareholder much narrower, so that fewer defendants would be able to win cases like *Tornetta v. Musk*. The legislature made it easier for controlling shareholders to cleanse transactions that other shareholders do not like. In the future, it will be harder for those other shareholders to win challenges to pay package that resembles the one that Elon Musk has now received ($1 trillion).

Additionally, Senate Bill 21 revised DGCL § 220 following Musk's outburst. This revision made it harder for shareholders to access the books and records of the corporation by narrowing the scope of books and records (limiting what information shareholders had access to). It also set a higher threshold for the number of shares that a shareholder must own in order to access those books and records. Therefore, it is now even more challenging for unhappy shareholders to understand the internal operations of a corporation, reach their fellow shareholders, and therby launch a successful proxy fight.

4. *"Fiduciary Duties" of Directors and Officers*

Shareholders can hold directors and officers and controlling shareholders accountable for the breach of their fiduciary duties of loyalty and care. It is increasingly difficult to do so. As *Walt Disney* shows, however, the duties of care and loyalty are nearly dead (especially after *Van Gorkom*). DGCL § 102(b)(7) makes it impossible to win a care claim. As long as corporations include a DGCL § 102(b)(7) provision in their articles of incorporation (meaning that individual directors cannot be held personally liable for violating the duty of care), directors will never lose a care case. It is equally difficult to prevail upon a duty of loyalty claim. While one cannot "§ 102(b)(7) away self-dealing," even a sale as astounding as the University of Chicago selling the Center for Research in Security Prices (our crown jewel) to Morningstar (on the board, decides whether University sells corwn jewels) was protected by the business judgment rule. It is too easy for directors and officers to cleanse their transactions, either by ratification by disinterested directors (e.g., CEO salary votes), ratification by shareholders, or arguing fair price for value received.

<u>The Harms of Deregulation</u>

Our state does already have an "abundance," but not the type that Klein and Derek desire. We do not have plentiful housing, energy, and medicine, and yet our country is so wealthy that there should be "enough of what we need to create lives better than what we have had." This failure is because wealth is not widespread and goods have not been made public. Our country is rich enough to house all of its citizens, to pay for energy, and to provide universal healthcare. And yet it does not. While political lock-up is certainly to blame, corporations and corporate law are additionally at fault.

Moreover, John Maynard Keynes was not a perfect fortune teller. While he might have predicted our GDP, the widely shared economic growth he envisioned has not come to pass. This century has not seen the "end of the accumulation of wealth as a source of social importance" but the exponential amalgamation of it. And our business law eases that inequity by focusing on a race to the bottom to appease those with the most capital and wealth.

The pushback in "A free Market Manifesto That Changed the World" describes much of this horror that has come to pass. An obsession with maximizing profits (Milton Friedman) has lead to economic, racial and health inequalities (justifying racial discrimination; climate change, erosion of protections for the environment; short-termism, hostile takeovers, and junk-bond financing; the erosion of protections for employees and weaker unions; and capitalism has been skewed to those on the top. Weak antitrust enforcement in recent years (e.g., Netflix and Time Warner) has led to monopsonistic power in the labor market.

Importantly, as Trevor Jackson of the NY Review of Books highlights, our politicians and government have "acquiesced to or actively encouraged the rise of an unaccountable tech and finance oligarchy that now threatens the continued existence of democracy itself." Elon Musk, one of those oligarchs, clearly has an outsized influence on the state legislature and business law (not to mention the federal government).

Our politicians have failed us in treating corporations as a nexus of contracts (a series of individual, voluntary contracts entered into) rather than as the concession of a right (a grant from the sovereign to a subordinate with strings attached). Refusing to attach strings to the machinations of corporations has allowed for the outsized political influence of those with massive amounts of wealth (*Citizens United*) due to an aversion to interference in corporate matters, and has left the public at the whims of the rising tech and finance oligarchy.

Conclusion

The Unite States overcorrected toward deregulation. In the pursuit of aiding innovation, our legislators and courts have forgotten that the successful few will rarely act in the public interest. An amalgamation of wealth at the top rapidly destroys our social safety net and slows the progress of social change. Corporate law shows that greater deregulation exacerbates inequality. In order to enable social change to provide public goods, courts and politicians must stop the growth of the tech and finance oligarchy. Corporate law is the first place to start.